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March 14, 2025

Mr. Kirk Dohne
Acting Director
Networking and Information Technology Research and Development
National Coordination Office
National Science Foundation
Washington, DC 20024

RE: U.S. AI Action Plan [Request for Information](#)

Dear Mr. Dohne:

The General Catalyst Institute (GCI) is pleased to submit these comments on the development of President Trump's forthcoming Artificial Intelligence (AI) Action Plan.

General Catalyst is a global investment and transformation company with over \$32B in assets under management that partners with the world's most ambitious entrepreneurs to drive resilience and applied AI. Since our founding 25 years ago, we have invested in over 800+ start-ups. As such, our comments focus on what would enable the startup ecosystem to thrive and grow. Effective Artificial Intelligence (AI) policy in this country will be key to that growth and to remaining competitive on a global stage.

In September 2024, we launched GCI with a mission to promote and strengthen national resilience around the world by backing transformative technologies and shaping public policies that improve society. The Institute operates as a platform for collaboration and partnership between entrepreneurs, government, investors, experts, and academics to help shape informed policy solutions. GCI's top priority is cultivating a healthy ecosystem for entrepreneurship and serving as a trusted partner to the global policymaking community on how to respond, leverage, and adopt cutting-edge technology, such as "applied AI."

President Trump has demonstrated his commitment — and that of his administration — to strengthening American leadership in the global AI race in a variety of ways including prioritizing the appointment of the first ever White House AI Czar in David Sacks, and

nominating and appointing many qualified individuals to shape and implement his administration's policies across this important topic such as Michael Kratsios and Jacob Helberg.

AI is transforming how technology delivers value—expanding what's possible for ecosystems globally. We are facing a new power competition that requires us to modernize and make our critical industries—healthcare, defense and intelligence, industrial and manufacturing, financial services and energy—more resilient. To keep the world safer, healthier, more sustainable, and productive it will require greater capital, patience, and collaboration across all stakeholders, on a scale never before seen.

Applied AI refers to the practical implementation of artificial intelligence techniques and technologies to solve real-world problems. Unlike theoretical AI — which disproportionately focuses on understanding the underlying technological models and computational realities — applied AI is about using frontier technology in practical applications across various industries.

Examples of applied AI include:

1. **Healthcare:** AI can be used to analyze medical data, help with diagnostic tools, predict disease outbreaks, and personalize treatment plans.
2. **Finance:** AI is applied in fraud detection, algorithmic trading, customer service through chatbots, and risk assessment.
3. **Manufacturing:** AI can enhance predictive maintenance, process automation, and quality control.
4. **Defense Tech:** AI can process data from cameras, radar, and sensors to detect and track targets — whether they are moving vehicles, personnel, or other objects. The AI system can make quick decisions about whether a target poses a risk, assisting operators in making informed decisions during combat or military operations.
5. **Cybersecurity:** AI also plays a key role in cybersecurity. It has immense power to identify and mitigate potential cyber threats faster than existing methods. Applied AI technologies, like machine learning and predictive analytics, are used to detect patterns of cyberattacks, offering proactive defense against sophisticated threats.

Where AI Stands Today

As we think about the current state of technology policy related to AI and where it should go from here, we believe it is important to understand the state of play in the marketplace.

General Catalyst's CEO & Managing Director Hemant Taneja recently authored a [framing](#) of where Applied AI stands today, excerpts of which are included below:

We're at a point where AI has reached escape velocity as the essential ingredients - data, algorithms, compute, talent, capital, and market demand - are all present. Generative AI is now used by 65% of companies, a dramatic increase from just 33% in 2023. As AI redefines value creation and capture, it is projected to add nearly \$20 trillion annually to the global economy by 2030.

GC's 800+ portfolio companies enable us to understand that for founders, this represents an unprecedented opportunity to create category-defining companies that empower businesses to harness the potential of AI. Applied AI offers a path to building resilient companies that endure in this new era and we think there are three characteristics that can inform thinking about the future of this cross-cutting capability: (1) Intelligence capabilities (developing trustworthy models that solve real business problems); (2) Infrastructure development (creating secure, scalable systems that enable enterprise-wide adoption); and (3) Workforce enablement (scaling services with AI agents and reshoring).

As enterprises move from experimenting with AI to deploying it at scale, the quality and trustworthiness of models have become critical differentiators. Organizations need solutions that can be trusted with sensitive data, adapted to specific industry and business needs, and deployed responsibly.

While powerful models are essential, they are just the first step in enterprise transformation. Creating lasting value with AI requires thoughtful infrastructure design that can support these models at scale. Leading AI companies excel in three key areas of infrastructure: protecting sensitive information, unifying fragmented enterprise data to enable better decisions, and building collaborative frameworks that ensure adoption.

With intelligence capabilities and infrastructure in place, the ultimate measure of AI's impact lies in how it transforms the way people work, and the work itself. Rather than simply augmenting existing tasks, AI allows us to rethink the nature of work. This shift is creating

new opportunities to boost productivity, enhance job satisfaction, and deliver better outcomes for businesses and their employees.

Advancing AI solutions are transforming work beyond simple automation, addressing labor shortages and evolving employee roles. For example, AI systems for healthcare are already increasing the supply and scalability of providers while reducing the unit cost of care. The adoption of intelligent AI agents allows humans to focus on work that requires creativity, emotional intelligence, and complex decision-making. As this trend continues, managing AI agents will likely become a new function, or part of an expanded role.

The most enduring AI companies prioritize ecosystem integration from the outset. Instead of immediately disrupting entire industries, they identify areas where AI can deliver rapid value and expand from those initial wins. This approach requires collaboration across traditional boundaries— industries, startups and established players, and the public and private sectors.

This ecosystem approach is crucial for realizing the full potential of applied AI. By bringing together different perspectives and expertise, we can accelerate solutions that solve real-world challenges and create companies that endure. We encourage founders to embrace a new era of value creation, one where collaboration is paramount. By focusing on the three levers of enterprise transformation—intelligence capabilities, infrastructure development, and workforce modernization—founders can build companies that redefine industries, and shape the global economy.

For decades, the government has played a role in innovating the foundations of computers, the Internet, data storage, and more. But when it comes to commercialization and consumer deployment, innovation does not wait around for regulatory frameworks to be built.

Recommendations

At a macro level, it is critical for the US to have a “whole-of-government” approach, with greater coordination across agencies. We must ensure consistency and clarity for the private sector — and the public. US states considered almost 700 legislative proposals related to artificial intelligence (AI) in 2024 covering a range of issues.¹ Forty-five states took up AI-related legislation this year, and just under 20 percent of those bills were ultimately enacted into law.² Many technology policy experts believe that the pace of new AI bills at the

¹ https://www.bsa.org/news-events/news/2025-state-ai-wave-building-after-700-bills-in-2024?utm_source=chatgpt.com

² Ibid

state level will continue to increase in 2025. Given this ongoing challenge, it is imperative for the federal government to work closely with the private sector to tackle this momentous challenge and embrace a level of coordination that is without modern precedent.

The following recommendations align with the White House’s Office of Science & Technology Policy call for input across these key categories:

Open Source Development:

- Policies should promote, protect, and reward open-source (not just open-weights) AI models, tools, frameworks, and resources to foster collaboration, transparency, and a more diverse and resilient AI ecosystem. Open source AI development encourages a competitive marketplace, promotes entrepreneurship, and enables research and innovation.
- The government should expand incentives and grants for maintaining core AI open-source projects to ensure they remain robust and well-supported.
- Open source encourages collaboration and innovation. When the source code is available, researchers and developers can build upon each other’s work, red team to improve its resilience, and accelerate advancements and create more robust solutions.
- Open source projects can reduce costs for startups both in development and deployment, making advanced technologies more accessible to various stakeholders, including smaller organizations and startups.
- On the education front, these models can serve as valuable tools, allowing students and researchers to explore and experiment with cutting-edge technology without the need for proprietary resources. Open source models allow for greater scrutiny and understanding of how these systems work, which can build public trust and ensure that the models are used ethically.
- Any regulatory guidelines should be restricted to high-risk applications in areas such as defense, intel, healthcare, criminal justice, and critical infrastructure — where the potential for harm is greatest. Responsible disclosure of issues and maintaining robust community guidelines is essential. Bad actors will try to take

advantage of these tools, and a close public and private sector feedback loop is essential to convey challenges and potential threats that might arise.

National Security and Defense:

- AI supply chain security and protections against corporate espionage are critical. Federal evaluations of model safety should be expanded.

Research and Development:

- Increase federal support for foundational AI research, especially in areas focused on applied AI.
- Further expand AI benchmarking and evaluation initiatives (including domain-specific benchmarks) to enable better assessment of model capabilities and performance.
- Encourage joint initiatives between government labs, academia, and industry (including startups and small businesses).

Energy Consumption and Efficiency:

- Promote and build a strategic national framework to harness the intersection of AI and energy consumption. Encourage tax incentives for companies that help with a short, medium, and long-range plan for new energy sources like SMRs, fusion, and other alternative sources. Encourage collaboration between tech companies, energy providers, and policymakers. We will need it all.
- In order for the U.S. to continue to lead in AI, there must be a comprehensive “all-of-the-above” energy strategy that pairs robust fiber networks with abundant data center capacity. We must build competitive and resilient electricity markets through strategic investments and diversified energy sources. In order to accomplish this, we must accelerate permitting processes for next-generation power infrastructure, transmission systems, and digital infrastructure.

Education and Workforce:

- The government should invest more in education and training programs to develop a workforce skilled in AI technologies and ethical considerations. To accomplish this, the government can partner with local community colleges and trade schools to integrate AI into the existing curriculum.

- Encourage more funding in AI Centers of Excellence across the US where academic/research centers can provide opportunities for private-public sector collaboration and to identify benefits of AI for healthcare, education, climate/energy, etc.

Liability Protections:

- Ensure legal structures that limit liability for startups using generative AI, especially during the early experimental phases.
- Introduce safe harbor provisions for startups that adhere to established guidelines, protecting them from certain liabilities in case of unintentional harm.
- Promote the development of tailored insurance products for generative AI risks, making it easier for startups to obtain coverage.

Federal Framework

- A federal, whole-of-government AI policy that sets a national standard and preempts state laws is essential to prevent a fragmented patchwork of state regulations that would create compliance burdens, especially for startups with limited resources. A unified approach ensures clarity, fosters innovation, and maintains America's global leadership in AI.

Summary

At General Catalyst, we see the practical reality of the need for a thoughtful and flexible regulatory approach when it comes to AI — empowering transformation to thrive to benefit the quality of life for all people, while at the same time taking reasonable measures to limit the ability of bad actors to use these tools for nefarious purposes. We encourage the Trump Administration to continue doing all it can to strike a balance between innovation and security, while ensuring America remains one of the best places in the world for startups to build and thrive.

Sincerely,

Teresa Carlson
Founding President
General Catalyst Institute